Chapter 2. Multivariate Random Variables

Joint and marginal distributions, moments, conditional expectation, independence, random vectors

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2.1 Joint and marginal distributions

A pair (X, Y) is described by a **joint pmf** $f(x, y) = P(X = x, Y = y)$ in the discrete case, or a **joint pdf** $f \geq 0$ with $P(a \leq X \leq b, c \leq Y \leq d) = \int_a^b \int_c^d f(x, y)\, dy\, dx$ in the continuous case. In both cases $f \geq 0$ and f sums or integrates to 1.

Definition (Marginal distributions)

$f_1(x) = \sum_y f(x, y)$ or $\int f(x, y)\, dy$, and $f_2(y) = \sum_x f(x, y)$ or $\int f(x, y)\, dx$.

Marginals are obtained by "summing out" the other variable; in a table they are the row and column totals. The joint distribution determines the marginals, but not conversely.

The **joint cdf** is $F(x, y) = P(X \leq x, Y \leq y)$. For continuous (X, Y), $f = \partial^2 F / \partial x \partial y$ at continuity points. The marginal cdfs are limits: $F_1(x) = \lim_{y \to \infty} F(x, y)$.

Theorem 2.1

(a) F is nondecreasing in each argument, and for $x_1 < x_2$, $y_1 < y_2$,

$$P(x_1 < X \leq x_2,\ y_1 < Y \leq y_2) = F(x_2, y_2) - F(x_1, y_2) - F(x_2, y_1) + F(x_1, y_1) \geq 0.$$

(b) $F(x, y) \to 0$ as $x \to -\infty$ or $y \to -\infty$, and $F \to 1$ as both $\to +\infty$.
(c) F is right-continuous in each argument.

Proof. The rectangle identity is inclusion–exclusion for $\{X \leq x_2, Y \leq y_2\}$ minus the two strips. (b), (c) follow from continuity of probability (Theorem 1.2) as in one dimension. ∎

Example 2.1

Let $f(x, y) = c(x + y)$ on $0 \leq x, y \leq 1$. Then $\int_0^1 \int_0^1 (x + y)\, dy\, dx = 1$, so $c = 1$. The marginal is $f_1(x) = \int_0^1 (x + y)\, dy = x + \frac{1}{2}$ on $[0, 1]$, and by symmetry $f_2(y) = y + \frac{1}{2}$. Also $P(X + Y \leq 1) = \int_0^1 \int_0^{1-x} (x + y)\, dy\, dx = \int_0^1 \frac{1 - x^2}{2}\, dx = \frac{1}{3}$.

Example 2.2 (A discrete joint distribution)

An urn has 2 red, 3 blue and 4 green balls; draw 3 without replacement, and let X, Y be the numbers of red and blue balls. Then

$$f(x, y) = \binom{2}{x}\binom{3}{y}\binom{4}{3 - x - y} \Big/ \binom{9}{3}, \qquad x + y \leq 3,$$

e.g. $f(0, 0) = 4/84$ and $f(1, 1) = 24/84$. Summing out y (Vandermonde) gives the marginal $f_1(x) = \binom{2}{x}\binom{7}{3-x}/84$, i.e. $35, 42, 7$ over 84 for $x = 0, 1, 2$: the hypergeometric $H(3; 9, 2)$, as it must be.

Example 2.3 (Joint cdf)

For $f(x, y) = e^{-y}$ on $0 < x < y$: $F(x, y) = \int_0^{x \wedge y} \int_s^y e^{-u}\, du\, ds = \int_0^{x \wedge y} (e^{-s} - e^{-y})\, ds = 1 - e^{-x \wedge y} - (x \wedge y) e^{-y}$ for $x, y \geq 0$. Letting $y \to \infty$ gives $F_1(x) = 1 - e^{-x}$, and letting $x \to \infty$ gives $F_2(y) = 1 - e^{-y} - y e^{-y}$, the Gamma$(2, 1)$ cdf.

2.2 Expectations, covariance and correlation

$E[g(X,Y)] = \sum\sum g(x,y)f(x,y)$ or $\iint gf$; it is linear and monotone. If g depends only on x, $Eg(X)$ can be computed from the joint or from the marginal: integrating out y first gives $\int g(x)f_1(x)\,dx$.

Definition (Covariance and correlation)

$\mathrm{Cov}(X,Y) = E[(X-\mu_1)(Y-\mu_2)]$ and, for positive variances, $\rho = \mathrm{Corr}(X,Y) = \mathrm{Cov}(X,Y)/(\sigma_1\sigma_2)$.

Theorem 2.2

(a) $\mathrm{Cov}(X,Y) = \mathrm{Cov}(Y,X)$ and $\mathrm{Cov}(X,X) = \mathrm{Var}\,X$.
(b) $\mathrm{Cov}(aX+b, cY+d) = ac\,\mathrm{Cov}(X,Y)$.
(c) $\mathrm{Cov}(X,Y) = E(XY) - E(X)E(Y)$.

Proof. (a) is immediate.

(b) $aX + b - E(aX+b) = a(X-\mu_1)$, and similarly for Y.

(c) Expand $(X-\mu_1)(Y-\mu_2)$ and use linearity. ■

Theorem 2.3

(a) $\mathrm{Var}\left(\frac{Y-\mu_2}{\sigma_2} - \rho\frac{X-\mu_1}{\sigma_1}\right) = 1-\rho^2$.
(b) $-1 \le \rho \le 1$.
(c) $\rho = \pm 1$ iff $\frac{Y-\mu_2}{\sigma_2} = \pm\frac{X-\mu_1}{\sigma_1}$ with probability 1.

Proof. (a) Expand: $1 - 2\rho\cdot\rho + \rho^2 = 1-\rho^2$.

(b) A variance is nonnegative.

(c) $\rho = \pm 1$ makes the variance in (a) zero, so the variable is constant (zero, since its mean is zero) with probability 1 (Theorem 1.11). ■

Equivalently,

$$|\mathrm{Cov}(X,Y)| \le \sigma_1\sigma_2,$$

a case of the **Cauchy–Schwarz inequality**, $|E(VW)| \le \sqrt{EV^2\,EW^2}$. The correlation measures *linear* association, free of units.

Example 2.4 (Example 2.1 continued)

$EX = \int_0^1 x(x+\frac{1}{2})\,dx = \frac{7}{12}$, $EX^2 = \int_0^1 x^2(x+\frac{1}{2})\,dx = \frac{5}{12}$, so $\mathrm{Var}\,X = \frac{5}{12} - \frac{49}{144} = \frac{11}{144}$. Also $E(XY) = \int_0^1\int_0^1 xy(x+y)\,dy\,dx = \frac{1}{3}$, so $\mathrm{Cov}(X,Y) = \frac{1}{3} - \frac{49}{144} = -\frac{1}{144}$ and $\rho = -\frac{1}{11}$.

Joint moments and generating functions. The (r,s) joint moment is $m_{r,s} = E(X^rY^s)$. Expanding $e^{t_1X}e^{t_2Y} = \sum_{r,s}\frac{X^rY^s}{r!s!}t_1^rt_2^s$ suggests the **joint mgf** $M(t_1,t_2) = E(e^{t_1X+t_2Y})$, defined when finite for $|t_i| < h_i$.

Theorem 2.4 (Joint mgf)

If $M(t_1,t_2)$ exists near $(0,0)$:
(a) all joint moments exist, $E(X^rY^s) = \partial^{r+s}M/\partial t_1^r\partial t_2^s\big|_{\mathbf{0}}$, and $M(t_1,t_2) = \sum_{r,s}\frac{E(X^rY^s)}{r!s!}t_1^rt_2^s$;

(b) if two pairs have equal joint mgfs near $\mathbf{0}$, they have the same joint distribution.

Proof. (a) Repeat the proof of Theorem 1.7(a) with $e^{|t_1x|+|t_2y|} \le \sum_{\pm,\pm} e^{\pm t_1 x \pm t_2 y}$ as the dominating function.

(b) As in one dimension, this needs characteristic functions and is beyond these notes. ■

The marginal mgfs are $M_X(s) = M(s,0)$ and $M_Y(t) = M(0,t)$. The joint cumulant generating function $C(t_1,t_2) = \log M(t_1,t_2) = \sum \frac{c_{r,s}}{r!s!} t_1^r t_2^s$ has joint cumulants $c_{1,0} = EX$, $c_{0,1} = EY$, $c_{2,0} = \operatorname{Var} X$, $c_{1,1} = \operatorname{Cov}(X,Y)$, $c_{0,2} = \operatorname{Var} Y$. This follows by expanding $\log(1+A)$ as in one dimension.

Example 2.5

For $f(x,y) = e^{-y}$ on $0 < x < y$ (Example 2.3),

$$M(t_1,t_2) = \int_0^\infty e^{t_1 x} \int_x^\infty e^{-(1-t_2)y}\, dy\, dx = \frac{1}{(1-t_2)(1-t_1-t_2)}, \qquad t_2 < 1,\ t_1 + t_2 < 1.$$

Then $C = -\log(1-t_2) - \log(1-t_1-t_2)$, and differentiating at $\mathbf{0}$ gives $EX = 1$, $EY = 2$, $\operatorname{Var} X = 1$, $\operatorname{Cov}(X,Y) = 1$, $\operatorname{Var} Y = 2$. So $\rho = 1/\sqrt{2}$. Also $M(s,0) = (1-s)^{-1}$: $X \sim \text{Exp}(1)$.

2.3 Conditional distributions and conditional expectation

Motivation. Regression is about the distribution of Y given X. The conditional expectation $E[Y \mid X]$ is the best predictor of Y from X, and the identities $E[E[Y \mid X]] = E[Y]$ and the variance decomposition let us compute moments by conditioning.

Definition (Conditional pmf/pdf)

For $f_1(x) > 0$, $f_{2|1}(y \mid x) = f(x,y)/f_1(x)$. For each fixed x it is a pmf/pdf in y.

In the continuous case $P(X = x) = 0$, so this is justified as a limit: if f and f_1 are continuous,

$$P(c \le Y \le d \mid x \le X \le x+h) = \frac{\frac{1}{h}\int_x^{x+h}\int_c^d f(s,y)\, dy\, ds}{\frac{1}{h}\int_x^{x+h} f_1(s)\, ds} \xrightarrow{h \downarrow 0} \int_c^d f_{2|1}(y \mid x)\, dy.$$

Theorem 2.5

$P(a \le X \le b, c \le Y \le d) = \int_a^b P(c \le Y \le d \mid X = x) f_1(x)\, dx$ (a sum in the discrete case).

Proof. Substitute $f(x,y) = f_{2|1}(y \mid x) f_1(x)$ into the double integral and integrate in y first. ■

Example 2.6 (Example 2.2 continued)

Given no red ball ($X = 0$), $f_{2|1}(y \mid 0) = f(0,y)/f_1(0) = \binom{3}{y}\binom{4}{3-y}/35$, i.e. $4, 18, 12, 1$ over 35 for $y = 0,1,2,3$. This is $H(3;7,3)$: once the red balls are excluded, we are effectively drawing from the 7 non-red balls.

Example 2.7

For $f(x,y) = e^{-y}$ on $0 < x < y$, $f_{2|1}(y \mid x) = e^{-(y-x)}$ for $y > x$: given $X = x$, $Y - x \sim \text{Exp}(1)$. Hence $P(Y > c \mid X = x) = e^{-(c \vee x - x)}$ and, by Theorem 2.5, $P(X \le 1, Y > 2) = \int_0^1 e^{-(2-x)} e^{-x}\, dx = e^{-2}$.

Definition (Conditional expectation and variance)

$E[g(X,Y) \mid X = x] = \int g(x,y) f_{2|1}(y \mid x)\, dy$; $\mu_{2|1}(x) = E(Y \mid X = x)$; $\text{Var}(Y \mid X = x) = E[(Y - \mu_{2|1}(x))^2 \mid X = x] = E(Y^2 \mid X = x) - \mu_{2|1}(x)^2$. Replacing x by X gives the random variables $E(Y \mid X)$ and $\text{Var}(Y \mid X)$.

Conditional expectation is linear and monotone, and functions of the conditioning variable factor out: $E[c(X)g(Y) \mid X = x] = c(x)E[g(Y) \mid X = x]$.

Theorem 2.6

(a) (Tower property) $E[E(Y \mid X)] = E(Y)$.
(b) $\text{Cov}(Y - E(Y \mid X), v(X)) = 0$ for every function v with $Ev(X)^2 < \infty$.

Proof. (a) $\int \left(\int y f_{2|1}(y \mid x)\, dy \right) f_1(x)\, dx = \iint y f(x,y)\, dy\, dx = EY$.

(b) Let $Z = Y - E(Y \mid X)$. Then $E(Z \mid X) = 0$, so $EZ = 0$ by (a), and $E[Zv(X)] = E[v(X)E(Z \mid X)] = 0$. ■

Theorem 2.7 (Best predictor)

Among all functions u, $E[(Y - u(X))^2]$ is minimized by $u(X) = E(Y \mid X)$, and the minimum is $E[\text{Var}(Y \mid X)]$.

Proof. Write $Y - u(X) = (Y - E(Y \mid X)) + v(X)$ with $v = E(Y \mid X) - u(X)$. The cross term has expectation 0 by Theorem 2.6(b), so $E(Y-u)^2 = E(Y - E(Y \mid X))^2 + Ev(X)^2$, minimized when $v = 0$. And $E(Y - E(Y \mid X))^2 = E[E((Y - E(Y \mid X))^2 \mid X)] = E\,\text{Var}(Y \mid X)$. ■

$E(Y \mid X)$ is called the **regression function** of Y on X.

Theorem 2.8 (Variance decomposition)

$\text{Var}\, Y = E[\text{Var}(Y \mid X)] + \text{Var}[E(Y \mid X)]$.

Proof. $Y - \mu = (Y - E(Y \mid X)) + (E(Y \mid X) - \mu)$; the two parts are uncorrelated by Theorem 2.6(b). Square and take expectations, using $E[E(Y \mid X)] = \mu$ and Theorem 2.7. ■

Geometrically $Y - EY$ splits into orthogonal pieces: the part explained by X and the residual. This is the basis of regression and ANOVA (Chapter 10).

Example 2.8 (Example 2.1 continued)

$f_{2|1}(y \mid x) = \frac{x+y}{x+1/2}$ on $[0,1]$, so $E(Y \mid X = x) = \frac{x/2+1/3}{x+1/2} = \frac{3x+2}{6x+3}$. The regression is not linear, and it decreases in x, consistent with $\rho < 0$.

Example 2.9 (Checking the decomposition)

In Example 2.7, $E(Y \mid X) = X+1$ and $\operatorname{Var}(Y \mid X) = 1$. So $E[E(Y \mid X)] = EX+1 = 2 = EY$, and $E\operatorname{Var}(Y \mid X) + \operatorname{Var} E(Y \mid X) = 1 + \operatorname{Var} X = 2 = \operatorname{Var} Y$, in agreement with Example 2.5. Also $\operatorname{Cov}(Y - E(Y \mid X), X) = \operatorname{Cov}(Y, X) - \operatorname{Var} X = 0$, as Theorem 2.6(b) requires.

2.4 Independence

Motivation. Random samples are independent observations, and independence is what makes the joint density factor and the variance of a sum equal the sum of variances.

Definition (Independent random variables)

X and Y are independent if $P(X \in A, Y \in B) = P(X \in A)P(Y \in B)$ for all (Borel) sets A, B.

Theorem 2.9

Each of the following is equivalent to independence:
(a) $F(x, y) = F_1(x)F_2(y)$ for all x, y;
(b) $f(x, y) = f_1(x)f_2(y)$ for all x, y;
(c) $M(t_1, t_2) = M_X(t_1)M_Y(t_2)$ near 0 (when the mgf exists). Moreover (b) holds iff $f(x, y) = g_1(x)g_2(y)$ for *some* functions g_1, g_2.

Proof. Rectangles determine the distribution, so (a)$\Leftrightarrow$ independence.

(a) and (b) are equivalent by differentiation and integration.

(c) follows from the uniqueness of the mgf. If $f = g_1g_2$, integrating gives $f_1 = g_1 \int g_2$, $f_2 = g_2 \int g_1$ and $1 = \int g_1 \int g_2$, so $f = f_1f_2$. ■

The factorization must hold on the whole plane, *support included*: $f(x, y) = 8xy$ on $0 \le x \le y \le 1$ looks like a product, but the triangular support makes X, Y dependent.

Theorem 2.10

If X, Y are independent then (a) $g_1(X)$ and $g_2(Y)$ are independent;
(b) $E[g_1(X)g_2(Y)] = Eg_1(X)\, Eg_2(Y)$;
(c) $\operatorname{Cov}(X, Y) = 0$;
(d) $\operatorname{Var}(X + Y) = \operatorname{Var} X + \operatorname{Var} Y$. In general $\operatorname{Var}(X + Y) = \operatorname{Var} X + \operatorname{Var} Y + 2\operatorname{Cov}(X, Y)$.

Proof. (a) $\{g_1(X) \in A\} = \{X \in g_1^{-1}(A)\}$.

(b) Factor the double integral.

(c) is (b) with identities and Theorem 2.2(c).

(d) Expand the square. ■

Uncorrelated does not imply independent: if X is uniform on $\{-1, 0, 1\}$ and $Y = X^2$, then $\operatorname{Cov}(X, Y) = EX^3 = 0$, yet Y is a function of X.

Example 2.10

(a) $f(x,y) = 6e^{-2x-3y}$ on $x,y>0$ factors as $2e^{-2x}\cdot 3e^{-3y}$ on a product set, so $X \sim \text{Exp}(\frac{1}{2})$ and $Y \sim \text{Exp}(\frac{1}{3})$ are independent.
(b) $f(x,y) = e^{-y}$ on $0<x<y$ does not factor ($\rho = 1/\sqrt{2}$).
(c) $f(x,y) = \frac{9}{40}(1+x^2y^2)$ on $[-1,1]^2$ (the constant makes it integrate to 1). By the symmetries $(x,y)\mapsto(-x,y)$ and $(x,-y)$, $EX = EY = E(XY) = 0$, so $\text{Cov}(X,Y) = 0$. But $f_1(x) = \frac{9}{20}(1+\frac{x^2}{3})$ and likewise f_2, so $f(1,1) = \frac{9}{20} \neq f_1(1)f_2(1) = \frac{9}{25}$: X and Y are dependent.

2.5 Random vectors

For $\mathbf{X} = (X_1,\dots,X_k)'$ the joint pmf/pdf, marginals (sum or integrate out the other coordinates), cdf and expectations are defined as above. The **mean vector** is $E\mathbf{X} = (EX_1,\dots,EX_k)'$, and the **covariance matrix** is

$$\text{Var}(\mathbf{X}) = E[(\mathbf{X}-\mu)(\mathbf{X}-\mu)'] = \big(\text{Cov}(X_i,X_j)\big)_{i,j}.$$

More generally $\text{Cov}(\mathbf{X},\mathbf{Y}) = E[(\mathbf{X}-\mu)(\mathbf{Y}-\eta)']$.

Theorem 2.11

For constant matrices A, C and vectors $\mathbf{b}, \mathbf{d}$:

(a) $E(A\mathbf{X}+\mathbf{b}) = AE\mathbf{X}+\mathbf{b}$;
(b) $\text{Var}(A\mathbf{X}+\mathbf{b}) = A\,\text{Var}(\mathbf{X})A'$ and $\text{Cov}(A\mathbf{X}+\mathbf{b}, C\mathbf{Y}+\mathbf{d}) = A\,\text{Cov}(\mathbf{X},\mathbf{Y})C'$;
(c) $\text{Var}(\mathbf{X}+\mathbf{Y}) = \text{Var}\,\mathbf{X} + \text{Var}\,\mathbf{Y} + \text{Cov}(\mathbf{X},\mathbf{Y}) + \text{Cov}(\mathbf{Y},\mathbf{X})$;
(d) $\text{Var}(\mathbf{X})$ is symmetric and nonnegative definite.

Proof. (a)–(c) follow from $E(CWD) = CE(W)D$ for a random matrix W, applied to $(\mathbf{X}-\mu)(\mathbf{Y}-\eta)'$.

(d) $\mathbf{a}'\,\text{Var}(\mathbf{X})\mathbf{a} = \text{Var}(\mathbf{a}'\mathbf{X}) \geq 0$. ■

By the spectral theorem $\text{Var}\,\mathbf{X} = P\,\text{diag}(\lambda_1,\dots,\lambda_k)P'$ with P orthogonal and $\lambda_1 \geq \cdots \geq \lambda_k \geq 0$. Then $P'\mathbf{X}$ has uncorrelated coordinates with variances λ_i: these are the **principal components**, and the eigenvectors give the main directions of spread.

Generating functions. $M(\mathbf{t}) = E(e^{\mathbf{t}'\mathbf{X}})$ yields all joint moments and determines the distribution. The cgf $C = \log M$ gives $E\mathbf{X} = \nabla C(\mathbf{0})$ and $\text{Var}\,\mathbf{X} = \nabla^2 C(\mathbf{0})$ (gradient and Hessian).

Conditioning. $f_{\mathbf{Y}|\mathbf{X}}(\mathbf{y}\mid\mathbf{x}) = f_{\mathbf{X},\mathbf{Y}}(\mathbf{x},\mathbf{y})/f_{\mathbf{X}}(\mathbf{x})$. The tower property, the orthogonality $\text{Cov}(\mathbf{Y}-E(\mathbf{Y}\mid\mathbf{X}), v(\mathbf{X})) = 0$, the matrix decomposition

$$\text{Var}\,\mathbf{Y} = E[\text{Var}(\mathbf{Y}\mid\mathbf{X})] + \text{Var}[E(\mathbf{Y}\mid\mathbf{X})],$$

and the best-predictor property for $E\|\mathbf{Y}-u(\mathbf{X})\|^2$ carry over with the same proofs.

Independence. $X_1,\dots,X_n$ are independent iff the joint pdf (or the mgf) factors into marginals, again iff it factors into *some* functions of the separate arguments. Then functions of separate components are independent, expectations of products factor, the covariance matrix of $\sum_i \mathbf{X}_i$ is $\sum_i \text{Var}\,\mathbf{X}_i$, and $M_{\sum \mathbf{X}_i}(\mathbf{t}) = \prod_i M_{\mathbf{X}_i}(\mathbf{t})$.

Example 2.11

Let X_1, X_2, X_3 be i.i.d. standard exponential and $Y_1 = X_1$, $Y_2 = X_1 + X_2$. Then $\operatorname{Var}(Y_1, Y_2)' = A\, I\, A'$ with $A = \begin{pmatrix} 1 & 0 \\ 1 & 1 \end{pmatrix}$, i.e. $\begin{pmatrix} 1 & 1 \\ 1 & 2 \end{pmatrix}$, so $\operatorname{Corr}(Y_1, Y_2) = 1/\sqrt{2}$.

2.6 Selected exercises

Motivation. These are the course's exercises for Chapter 2 (numbered as there). They use conditioning to find a marginal law, linear algebra to maximize a correlation, and an explicit density to separate pairwise from mutual independence.

Exercise 2.7 (Pólya's urn)

An urn contains $b \geq 0$ black and $r \geq 0$ red balls, $b + r > 0$. A ball is drawn; set $X_1 = 1$ if it is black and $X_1 = 0$ if red, and return it together with $c \geq 0$ further balls of the same colour. This is repeated, giving $X_2, X_3, \ldots$.
(a) Find the conditional distribution of X_{n+1} given $X_1, \ldots, X_n$.
(b) Find the marginal distribution of X_n, $n \geq 1$.

Solution.

(a) Let $S_n = X_1 + \cdots + X_n$ and $N_n = b + r + nc$. After n draws the urn holds N_n balls, of which $b + cS_n$ are black. The next ball is drawn at random, so

$$P(X_{n+1} = 1 \mid X_1, \ldots, X_n) = \frac{b + cS_n}{N_n} =: M_n, \qquad P(X_{n+1} = 0 \mid X_1, \ldots, X_n) = 1 - M_n.$$

(b)

Step 1. M_n is the proportion of black balls after n draws. If $X_{n+1} = 1$ the urn then holds $M_n N_n + c$ black balls among $N_n + c$; otherwise $M_n N_n$. By (a),

$$E[M_{n+1} \mid X_1, \ldots, X_n] = M_n \frac{M_n N_n + c}{N_n + c} + (1 - M_n) \frac{M_n N_n}{N_n + c} = \frac{M_n (N_n + c)}{N_n + c} = M_n.$$

Step 2. Taking expectations (Theorem 2.6), $EM_{n+1} = EM_n = \cdots = EM_0 = b/(b + r)$.

Step 3. Hence $P(X_{n+1} = 1) = E\big[P(X_{n+1} = 1 \mid X_1, \ldots, X_n)\big] = EM_n = b/(b + r)$. So every X_n is Bernoulli$(b/(b + r))$, as for the first draw, although the X_n are dependent when $c > 0$. ∎

Exercise 2.12 (Maximal correlation of linear combinations)

Let $\mathbf{X}_1$ and $\mathbf{X}_2$ be random vectors of dimensions k_1 and k_2 with $\Sigma_{11} = \operatorname{Var} \mathbf{X}_1$ and $\Sigma_{22} = \operatorname{Var} \mathbf{X}_2$ positive definite and $\Sigma_{12} = \operatorname{Cov}(\mathbf{X}_1, \mathbf{X}_2) = \Sigma_{21}'$. Find nonzero $\mathbf{a}_1, \mathbf{a}_2$ maximizing $\operatorname{Corr}(\mathbf{a}_1' \mathbf{X}_1, \mathbf{a}_2' \mathbf{X}_2)$, and the maximum.

Solution.

Step 1. By Theorem 2.11,

$$\operatorname{Corr}(\mathbf{a}_1' \mathbf{X}_1, \mathbf{a}_2' \mathbf{X}_2) = \frac{\mathbf{a}_1' \Sigma_{12} \mathbf{a}_2}{\sqrt{\mathbf{a}_1' \Sigma_{11} \mathbf{a}_1} \sqrt{\mathbf{a}_2' \Sigma_{22} \mathbf{a}_2}}.$$

Put $\mathbf{u} = \Sigma_{11}^{1/2}\mathbf{a}_1$, $\mathbf{v} = \Sigma_{22}^{1/2}\mathbf{a}_2$ (symmetric positive definite square roots) and $K = \Sigma_{11}^{-1/2}\Sigma_{12}\Sigma_{22}^{-1/2}$. As $\mathbf{a}_1, \mathbf{a}_2$ range over nonzero vectors, so do $\mathbf{u}, \mathbf{v}$, and the correlation equals $\mathbf{u}'K\mathbf{v}/(\|\mathbf{u}\|\|\mathbf{v}\|)$.

Step 2. Let $\lambda_1 \geq 0$ be the largest eigenvalue of the symmetric nonnegative definite matrix $K'K$, with unit eigenvector $\mathbf{e}_1$. By the spectral theorem $\|K\mathbf{v}\|^2 = \mathbf{v}'K'K\mathbf{v} \leq \lambda_1\|\mathbf{v}\|^2$, and by the Cauchy–Schwarz inequality

$$\mathbf{u}'K\mathbf{v} \leq \|\mathbf{u}\|\,\|K\mathbf{v}\| \leq \sqrt{\lambda_1}\,\|\mathbf{u}\|\,\|\mathbf{v}\|.$$

So the correlation is at most $\sqrt{\lambda_1}$.

Step 3. If $\lambda_1 > 0$, take $\mathbf{v} = \mathbf{e}_1$ and $\mathbf{u} = K\mathbf{e}_1$. Then $\|\mathbf{u}\|^2 = \mathbf{e}_1'K'K\mathbf{e}_1 = \lambda_1$ and $\mathbf{u}'K\mathbf{v} = \lambda_1$, so the correlation equals $\lambda_1/\sqrt{\lambda_1} = \sqrt{\lambda_1}$. If $\lambda_1 = 0$, then $K = 0$, i.e. $\Sigma_{12} = 0$, and every correlation is 0.

Step 4. Translating back, the maximum is $\sqrt{\lambda_1}$, attained at

$$\mathbf{a}_2 = \Sigma_{22}^{-1/2}\mathbf{e}_1, \qquad \mathbf{a}_1 = \Sigma_{11}^{-1/2}K\mathbf{e}_1 = \Sigma_{11}^{-1}\Sigma_{12}\mathbf{a}_2$$

(and at their positive multiples). Since $K'K = \Sigma_{22}^{-1/2}\Sigma_{21}\Sigma_{11}^{-1}\Sigma_{12}\Sigma_{22}^{-1/2}$ is similar to $\Sigma_{22}^{-1}\Sigma_{21}\Sigma_{11}^{-1}\Sigma_{12}$, λ_1 is also the largest eigenvalue of that matrix. The maximum $\sqrt{\lambda_1}$ is the first *canonical correlation*; for $k_1 = k_2 = 1$ it is $|\mathrm{Corr}(X_1, X_2)|$. ■

Exercise 2.15 (Pairwise but not mutually independent)

Let (X, Y, Z) have density

$$f(x, y, z) = \frac{1 - \sin x \sin y \sin z}{8\pi^3}, \qquad 0 \leq x, y, z \leq 2\pi,$$

and 0 otherwise. Show that any two of X, Y, Z are independent, but X, Y, Z are not mutually independent.

Solution.

Step 1. $f \geq 0$ because $|\sin x \sin y \sin z| \leq 1$, and $\int_0^{2\pi} \sin t\, dt = 0$ gives $\iiint f = (2\pi)^3/(8\pi^3) = 1$, so f is a density.

Step 2. Integrating out z and using $\int_0^{2\pi} \sin z\, dz = 0$, the density of (X, Y) is $f_{XY}(x, y) = 2\pi/(8\pi^3) = 1/(4\pi^2)$ on $[0, 2\pi]^2$. Integrating once more, X and Y are uniform on $[0, 2\pi]$. Thus $f_{XY} = f_X f_Y$, and X, Y are independent by Theorem 2.9(b). By symmetry of f in (x, y, z) the same holds for (X, Z) and (Y, Z).

Step 3. Choose $\delta \in (0, \pi/2)$ so small that $\sin t \geq 2^{-1/3}$ for $t \in I = [\pi/2 - \delta, \pi/2 + \delta]$. On the box I^3 we then have $\sin x \sin y \sin z \geq \frac{1}{2}$, so $f \leq \frac{1}{2} \cdot \frac{1}{8\pi^3}$ there and

$$P(X \in I, Y \in I, Z \in I) \leq \frac{1}{2} \cdot \frac{(2\delta)^3}{8\pi^3} < \left(\frac{2\delta}{2\pi}\right)^3 = P(X \in I)P(Y \in I)P(Z \in I).$$

So the product rule fails for the events $\{X \in I\}, \{Y \in I\}, \{Z \in I\}$, and X, Y, Z are not mutually independent. ■